

1.

CASE #	CASE NAME	HEARING NAME
CVPS2102359	MICHAEL A. CAPOZZA VS JOSEPH RUBIN	MOTION FOR DISCHARGE BY RICHARDSON GRISWOLD, ESQ

Tentative Ruling:

Moving party: Receiver, Richardson Griswold
Responding party: Plaintiff, Michael A. Capozza ("Plaintiff") (limited opposition);
Defendant, Joseph Rubin

This action is brought by Plaintiff Michael Capozza, as Trustee of the Michael A. Capozza Separate Property Trust dated January 25, 2018 ("Plaintiff"), individually and derivatively, on behalf of 395 Palm Canyon, LLC ("395 PC"). Related actions are pending in Riverside Superior Court (Capozza v. 395 Palm Canyon LLC [CVPS2101309] and Ane Holdings, LLC v. Rubin et al. [CVPS2102620]). Plaintiff alleges he was fraudulently induced to invest \$500,000 in 395 PC, a real estate venture tied to the Rubin family's cannabis business, amid financial distress resulting from mismanagement of funds. The Complaint in this case was filed on May 12, 2021.

On June 3, 2021, Plaintiff moved for the appointment of a receiver under Code of Civil Procedure section 564, citing various grounds including insolvency and the risk of loss. The motion was granted on February 10, 2022, by Judge Randall White, with Judge Randolph Rogers signing of order appointing Richardson Griswold as receiver on February 24, 2022. The order allowed for Griswold to charge fees at \$300 per hour and specified that the receiver's expenses would be paid from the receivership estate. (See Order entered on February 24, 2022, ¶¶ 3, 17.)

Griswold now seeks an order directing payment of taxes in accordance with its CPA's assessment of equitable distribution of tax liabilities among member of 395 PC for the tax years 2021, 2022, and 2023 (\$7,600); payment of receivership fees (\$27,094.19) and attorney's fees (\$8,627.82); discharge of receiver from its duties; and exoneration of the surety.

Defendant Joseph Rubin opposes the motion, arguing fees should fall to the Plaintiff as he sought the receivership over objections. Rubin also elaborates on disputes with Plaintiff regarding the appointment's validity.

Plaintiff filed a late opposition, agreeing with the fees and payment of tax liabilities but contending they should be assessed against S. Rubin and J. Rubin on basis that this action was necessary to uncover Defendants' misappropriation of funds and that Plaintiff did not receive any return on his initial capital contribution into 395 PC of \$500,000.

In summary, proper grounds exist to grant the motion for payment of fees and costs, allocation of tax liabilities, discharge of receiver from duties and exoneration of the surety. However, the matter will be continued and the Court orders the receiver to

provide details of his services rendered as set forth in California Rules of Court, rule 3.1184, subdivision (d).

I. Legal Standard.

A receiver must obtain separate court approval to pay attorney fees, which is done upon noticed motion or stipulation of all parties at the time the final account and report are presented for settlement. (Cal. Rules of Court, rule 3.1184(a).) Similarly, the receiver must present a final account and report by noticed motion or stipulation of all parties, together with a request for discharge and a request for exoneration of the receiver's surety. (Rule 3.1184(a); *County of Sacramento v. Rawat* (2021) 65 Cal. App. 5th 858, 865.) No memorandum in support of the motion or stipulation need be submitted unless ordered by the court. (Cal. Rules of Court, rule 3.1184(b).)

Notice of the motion or stipulation must be given to every person or entity known to the receiver to have a "substantial, unsatisfied claim that will be affected by the order or stipulation, whether or not the person or entity is a party to the action or has appeared in it." (Cal. Rules of Court, rule 3.1184(c); *County of Sacramento v. Rawat, supra*, 65 Cal. App. 5th at 866.) The motion and supporting papers must be filed and served pursuant to Code of Civil Procedure section 1005, subdivision (b).

While rule 3.1184 does not expressly address objections to the final account and report, all parties beneficially interested should be able to oppose it by filing and serving opposing papers pursuant to section 1005, subdivisions (b) and (c), and by appearing at the hearing. (*Kirk v. Kirk* (1966) 243 Cal. App. 2d 580, 582; *MacMorris Sales Corp. v. Kozak* (1967) 249 Cal. App. 2d 998, 1005 [parties beneficially interested in receivership estate may attack receiver's accounting].)

If the final account claims any allowance of compensation for the receiver or an attorney employed by the receiver, it must state in detail what services were performed by the receiver or attorney, and whether previous compensation allowances were made to the receiver or attorney and those amounts. (Rule 3.1184(d).)

After approval of the receiver's report and accounting, the receiver should be discharged in accordance with the order approving the final report and account and after final disbursements. (See *Coburn v. Ames* (1881) 57 Cal. 201, 202-203.) After discharge, a receiver has no further official duties and generally is not a proper party to any action. (*Jun v. Myers* (2001) 88 Cal. App. 4th 117, 124.)

II. The motion will be continued.

Here, the receiver has demonstrated proper grounds to grant the order as requested. Fees and tax liabilities should be equally apportioned among the parties. The final accounting provided by Griswold shows that the receivership estate balance is zero as of January 2026. The costs of receivership is generally paid out from the property in the receivership estate. (*City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 685-686.) But the court has discretion to impose the receiver's costs on the party who sought appointment of the receiver or to apportion the costs among

the parties based on the circumstances. For instance, “[a] court may require one or more parties to pay for receiver fees where the property subject to the receivership is inadequate to compensate the receiver and/or where other equitable circumstances support imposing fees on a party.” (*Id.* at 685-686.)

However, the motion fails to include any details of the services rendered by the receiver as set forth in California Rules of Court, rule 3.1184(d). Griswold’s declaration includes final accounting of the receivership account from February 2022 through April 2026. (Ex. D.) Griswold’s declaration also includes time record for the Guerin Law Firm, which was forwarded to Griswold, itemizing the describing the firm’s services from December 2024 through November 2025. (Ex. E.) However, Griswold does not provide details of what services have been performed in connection with his proposed fees of \$27,084.19. Therefore, Griswold’s proposed fees cannot be approved at this time until he complies with rule 3.1184, subdivision (d). The rules of court require that: “If any allowance of compensation for the receiver or for an attorney employed by the receiver is claimed in an account, it must state in detail what services have been performed by the receiver or the attorney and whether previous allowances have been made to the receiver or attorney and the amounts.” (Cal. Rules of Court, rule 3. 1184(d).) As such, the Court continues the hearing, and orders the receiver to file a declaration including the details of the receiver’s services performed under the receivership 5 Court days prior to the next hearing. This ensures transparency and accountability in compensating the receiver and strengthens the Court’s ability to make an informed decision regarding the fee request.

The hearing is continued to 10/2/2026 at 8:30 a.m. in Dept. 6.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2406420	DUPUY VS GUMM	MOTION FOR PROTECTIVE ORDER

Tentative Ruling:

Moving party:	Plaintiffs and Cross-Defendants Kenneth Michael Dupuy and Jessie Dupuy (pro per)
Responding party:	Defendants Arthur Lester Gumm and Andrea Gumm

This is a nuisance neighbor dispute between Plaintiffs Kenneth Michael Dupuy and Jessie Dupuy (collectively the “Dupuys” or “Kenneth” and “Jessie”), in pro per, and Arthur Lester Gumm and Andrea Gumm (collectively the “Gumms” or “Arthur” and “Andrea”). Plaintiffs filed this action on 11/21/24. On 8/19/25, Plaintiffs filed their operative Third Amended Complaint (“TAC”) asserting causes of action for: 1) civil harassment, 2) private nuisance, 3) intentional infliction of emotional distress, 4) negligence, and 5) intentional interference with quiet enjoyment. Plaintiffs allege that in December 2024 they obtained a 3-year restraining order against Arthur and Defendants